

Real Estate Investing in Pittsburgh

A short, simple primer for your first investment property.

Real estate investing sounds complicated because of the vocabulary, not the math. Once you know five terms and a simple five step process, you can evaluate almost any deal with confidence. This guide covers exactly that and nothing more.

5 Terms You Need to Know

Cash Flow	The money left over each month after rent comes in and every expense (mortgage, taxes, insurance, repairs, vacancy) goes out. This is what actually lands in your pocket.
Cap Rate	A property's yearly income divided by its price, ignoring financing. It's a quick way to compare two properties. A higher cap rate generally means more return, but often more risk.
Cash on Cash Return	Your annual cash flow divided by the actual cash you put in (down payment plus closing costs plus rehab). This tells you how hard your own money is working, not the bank's.
ARV (After Repair Value)	What a property will be worth once renovations are finished. Used to figure out how much a rehab budget can safely support.
Reserve Fund	Cash set aside for the expenses you know will eventually happen, like a new roof, a vacancy, or an emergency repair, so one bad month doesn't sink the deal.

The Basic Process, in 5 Steps

- 1 Get preapproved first**
Talk to a lender before you fall in love with a property. This tells you your real price range and shows sellers you're serious.
- 2 Pick a property type and area**
Single family, duplex, or small multi family homes each have different financing, tenants, and management needs. Match it to how hands on you want to be.
- 3 Run the numbers before and after you tour**
Estimate rent, expenses, and cash flow using public listing data before you go. Then check those numbers again after the tour, once you've seen the property's real condition in person.

4 Trust your agent

A good investor focused agent has already run deals like yours. Lean on that experience for pricing, timelines, and knowing when to walk away.

5 Close, then manage like a business

Track income and expenses from day one, keep a reserve fund, and treat every repair call as a line item, not a surprise.

A Quick Cash Flow Example

Monthly rent	\$1,800
Mortgage (P&I)	(\$950)
Taxes and insurance	(\$250)
Vacancy and maintenance reserve (10%)	(\$180)
Monthly cash flow	\$420

This property would produce roughly \$420/month, or about \$5,040/year, before accounting for your specific financing and any capital improvements.

4 Mistakes New Investors Make

Living in Analysis Paralysis

Running the numbers over and over without ever making an offer. At some point a good enough deal beats a perfect deal that never happens.

Skipping the Reserve Fund

Buying a property with no cushion for a broken water heater or a month of vacancy. One bad break shouldn't threaten the whole investment.

Underestimating Expenses

Forgetting property management, vacancy, and maintenance when the mortgage payment looks affordable on its own.

Falling for the Property Instead of the Numbers

A property can be beautiful and still be a bad investment. Let the cash flow and cap rate make the decision, not the finishes.

This guide is educational, not financial or legal advice. Every market and property is different, so talk with a lender, accountant, and real estate professional before making a purchase.